TEACHER GUIDE

Pearson Edexcel International GCSE in Business (4BS1)

Sources of business finance

Section 3
3.1 Business finance: sources



A revision lesson. Pupils run a car dealership in firms of four and revise sources of business finance on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	45 min	60 min	75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same.

1 Total to pay back

Round 1

Same interest every year.

Total to pay back?

Loan	**£50,000**
Interest, each year	**3%**
Repaid over	**4 years**

ANSWER

£56,000

£50,000 + 4 × £1,500 = £56,000

Why: The loan costs £6,000 in interest.

2 Short-term sources

Round 1

You need £8,000 for three weeks to cover a gap.

Which two sources fit best?

A A bank overdraft
B Selling shares
C Trade credit from a supplier
D A five-year bank loan
E A mortgage

ANSWER

✔ A bank overdraft
✔ Trade credit from a supplier

Why: Short-term needs suit short-term finance.

3 Rank total interest

Round 2

Three ways to borrow £10,000, simple interest.

Order by total interest, cheapest first?

A Overdraft: 15% a year, 6 months
B Loan: 8% a year for 2 years
C Card: 24% a year for 3 months

ANSWER

1. **Card: 24% a year for 3 months**
2. **Overdraft: 15% a year, 6 months**
3. **Loan: 8% a year for 2 years**

Why: Interest: £600, £750, £1,600.

Topic tasks

4 Loan or overdraft

Round 2

Loan or overdraft?

Extra cost of the overdraft?

Money needed	**£20,000**
Loan interest, for the year	**4%**
Overdraft charge, a month	**£200**
You need it for	**7 months**

ANSWER

£600

7 × £200 − £800 = £600

Why: The overdraft costs £600 more here.

5 Loan or own profit

Round 3

You want a £30,000 workshop ramp. You have £40,000 of profit kept in the firm, not needed elsewhere.

How should you pay, and why?

A Take a loan at 9%

B Use the profit kept in the firm

ANSWER

✔ Use the profit kept in the firm

Why: Retained profit costs no interest and need not be repaid.

6 Cheaper loan cost

Round 3

Borrow £25,000.

Total cost of the cheaper loan, with fees?

Bank interest, each year	**7%**
Bank fee, one-off	**£400**
Credit firm, interest a year	**9%**
Repaid over	**4 years**

ANSWER

£7,400

Bank £7,400; credit firm £9,000; cheaper £7,400

Why: The bank is cheaper, even with the fee counted.

Final questions

Each pupil answers 6 final questions on sources of business finance. They come from these 8 questions.

1. A normally healthy dealer has a short, forecast cash gap before customers pay. Which source may be most suitable?
   ✔ **An overdraft with a limit covering the temporary gap**

2. A dealership wants to finance a workshop extension expected to last many years. Why might a long-term loan be suitable?
   ✔ **Repayments can be spread over the asset's life**

3. A profitable private company uses accumulated profit to buy diagnostic equipment. What source of finance is this?
   ✔ **Retained profit**

4. A dealer uses last year's profit to buy a new ramp. Which source of finance is this?
   ✔ **Retained profit**

5. A dealer needs £5,000 for two weeks until customers pay. Which source of finance fits best?
   ✔ **A bank overdraft**

6. A parts supplier lets a dealer pay 30 days after delivery. Which source of finance is this?
   ✔ **Trade credit**

7. Why might a dealer prefer a bank loan to an overdraft for a £40,000 workshop extension?
   ✔ **Repayments are fixed and spread over years**

8. A private limited company dealer sells more shares to raise £100,000. What is a drawback?
   ✔ **The owners give up some control**